BEFA UNIT IV

INTRODUCTION TO ACCOUNTING

The purpose of any business is to make profits for that some business activities are to be conducted. You may involve in transactions daily. Any human activity directed at making profit is called business. Business is of different types. It may be trading activity or manufacturing activity. Business may require capital which may be owner's capital and borrowed capital. Transactions involve exchange of value like purchase of goods, sale of goods for cash or credit and payment of expenses in the course of production and distribution.

History of Accounting:

Accounting is as old as civilization itself. From the ancient relics of Babylon, it can be will proved that accounting did exist as long as 2600 B.C. However, in modern form accounting based on the principles of Double Entry System came into existence in 17th Century. Fra Luka Paciolo, a mathematician published a book *De computic et scripturies* in 1494 at Venice in Italy. This book was translated into English in 1543. In this book he covered a brief section on 'book-keeping'.

Origin of Accounting in India:

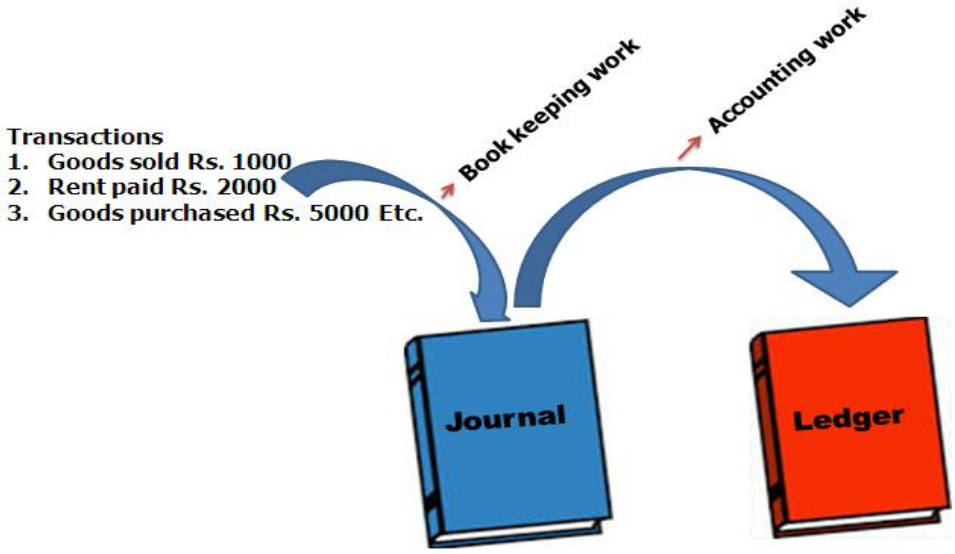
Accounting was practiced in India thousand years ago and there is a clear evidence for this. In his famous book *Arthashastra* Kautilya dealt with not only politics and economics but also the art of proper keeping of accounts. However, the accounting on modern lines was introduced in India after 1850 with the formation joint stock companies in India.

Accounting in India is now a fast developing discipline. The two premier Accounting Institutes in India viz., chartered Accountants of India and the Institute of Cost and Works Accountants of India are making continuous and substantial contributions. The international Accounts Standards Committee (IASC) was established as on 29th June. In India the 'Accounting Standards Board (ASB) is formulating 'Accounting Standards' on the lines of standards framed by International Accounting Standards Committee.\

BOOK-KEEPING AND ACCOUNTING

Book – Keeping: Book – Keeping involves the chronological recording of financial transactions in a set of books in a systematic manner.

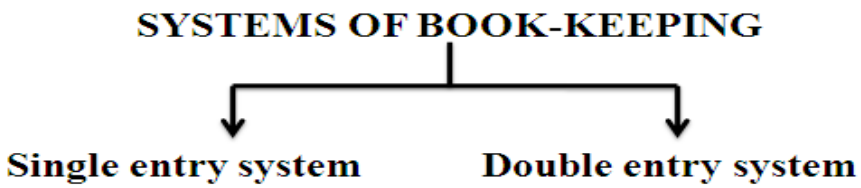
Accounting: Accounting is concerned with the maintenance of accounts giving stress to the design of the system of records, the preparation of reports based on the recorded date and the interpretation of the reports.



DIFFERENCE BETWEEN BOOK-KEEPING AND ACCOUNTING:

BOOK-KEEPING		ACCOUNTING
Concerned with recording of transactions	**1**	Concerned with classifying, summarizing, analyzing and interpreting the data and communicating to the end users
Book-keeper maintains the accounts of particular section	**2**	Accountant maintains the accounts of whole organization
He works under an accountant	**3**	He directs and reviews the work of book-keeper
He has limited knowledge	**4**	He has higher level of knowledge, conceptual understanding, analytical skills
His work is clerical in nature	**5**	His work is executive in nature

SYSTEMS OF BOOK-KEEPING:

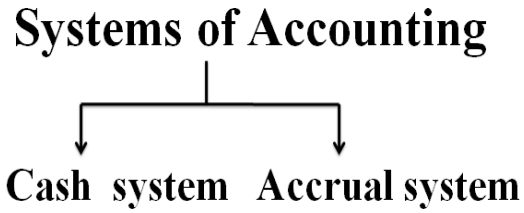


1. **Single entry system**
   - It is incomplete system of double entry system.
   - Only cash and personal accounts are maintained.
2. **Double entry system**
   - It is only the system that records two aspects of a transaction.
   - In this system, the transactions are recorded with the help of "Debit-Credit rules".

Definition of Accounting:

American Institute of Certified Public Accountants (AICPA): "The art of recording, classifying and summarizing in a significant manner and in terms of money transactions and events, which are in part at least, of a financial character and interpreting the results thereof."

Thus, accounting is an art of identifying, recording, summarizing and interpreting business transactions of financial nature. Hence accounting is the **Language of Business**.



1. Cash system: Only cash related transactions are recorded. Usually, Government and some professionals use this type of accounting system. Receipts and payments account is prepared. It does not present true picture of the financial position of a company.

2. Accrual system: It is also known as mercantile system of accounting. It considers outstanding expenses and incomes It provides clear picture of financial position of a firm. Company's Act recommended this system to all companies.

BRANCHES OF ACCOUNTING

The important branches of accounting are:

1. **Financial Accounting:** The purpose of Accounting is to ascertain the financial results i.e. profit or loass in the operations during a specific period. It is also aimed at knowing the financial position, i.e. assets, liabilities and equity position at the end of the period. It also provides other relevant information to the management as a basic for decision-making for planning and controlling the operations of the business.

2. **Cost Accounting:** The purpose of this branch of accounting is to ascertain the cost of a product / operation / project and the costs incurred for carrying out various activities. It also assist the management in controlling the costs. The necessary data and information are gatherr4ed form financial and other sources.

3. **Management Accounting :** Its aim to assist the management in taking correct policy decision and to evaluate the impact of its decisions and actions. The data required for this purpose are drawn accounting and cost-accounting.

FUNCTIONS OF AN ACCOUNTANT

The job of an accountant involves the following types of accounting works :

1. **Designing Work :** It includes the designing of the accounting system, basis for identification and classification of financial transactions and events, forms, methods, procedures, etc.

2. **Recording Work :** The financial transactions are identified, classified and recorded in appropriate books of accounts according to principles. This is “Book Keeping”. The recording of transactions tends to be mechanical and repetitive.

3. **Summarizing Work :** The recorded transactions are summarized into significant form according to generally accepted accounting principles. The work includes the preparation of profit and loss account, balance sheet. This phase is called ‘preparation of final accounts’

4. **Analysis and Interpretation Work:** The financial statements are analysed by using ratio analysis, break-even analysis, funds flow and cash flow analysis.

5. **Reporting Work:** The summarized statements along with analysis and interpretation are communicated to the interested parties or whoever has the right to receive them. For Ex. Share holders.

In addition, the accou8nting departments has to prepare and send regular reports so as to assist the management in decision making. This is 'Reporting'.

6. **Preparation of Budget :** The management must be able to reasonably estimate the future requirements and opportunities. As an aid to this process, the accountant has to prepare budgets, like cash budget, capital budget, purchase budget, sales budget etc. this is 'Budgeting'.

7. **Taxation Work :** The accountant has to prepare various statements and returns pertaining to income-tax, sales-tax, excise or customs duties etc., and file the returns with the authorities concerned.

8. **Auditing :** It involves a critical review and verification of the books of accounts statements and reports with a view to verifying their accuracy. This is 'Auditing'.

USERS OF ACCOUNTING INFORMATION

1. **Managers :** These are the persons who manage the business, i.e. management at the top, middle and lower levels. Their requirements of information are different because they make different types of decisions.

Accounting information also helps the managers in appraising the performance of subordinates. As such Accounting is termed as " the eyes and ears of management."

2. **Investors :** Those who are interested in buying the shares of company are naturally interested in the financial statements to know how safe the investment already made is and how safe the proposed investments will be.

3. **Creditors :** Lenders are interested to know whether their load, principal and interest, will be paid when due. Suppliers and other creditors are also interested to know the ability of the firm to pay their dues in time.

4. **Workers :** In our country, workers are entitled to payment of bonus which depends on the size of profit earned. Hence, they would like to be satisfied that he bonus being paid to them is correct. This knowledge also helps them in conducting negotiations for wages.

5. **Customers :** They are also concerned with the stability and profitability of the enterprise. They may be interested in knowing the financial strength of the company to rent it for further decisions relating to purchase of goods.

6. **Government:** Governments all over the world are using financial statements for compiling statistics concerning business which, in turn, helps in compiling national accounts. The financial statements are useful for tax authorities for calculating taxes.

7. **Public :** The public at large interested in the functioning of the enterprises because it may make a substantial contribution to the local economy in many ways including the number of people employed and their patronage to local suppliers.

8. **Researchers:** The financial statements, being a mirror of business conditions, is of great interest to scholars undertaking research in accounting theory as well as business affairs and practices.

ADVANTAGES OF ACCOUNTING

1. **Provides for systematic records:** Since all the financial transactions are recorded in the books, one need not rely on memory. Any information required is readily available from these records.

2. **Facilitates the preparation of financial statements:** Profit and loss accountant and balance sheet can be easily prepared with the help of the information in the records. This enables the trader to know the net result of business operations (i.e. profit / loss) during the accounting period and the financial position of the business at the end of the accounting period.

3. **Provides control over assets:** Book-keeping provides information regarding cash in had, cash at bank, stock of goods, accounts receivables from various parties and the amounts invested in various other assets. As the trader knows the values of the assets he will have control over them.

4. **Provides the required information:** Interested parties such as owners, lenders, creditors etc., get necessary information at frequent intervals.

5. **Comparative study:** One can compare the present performance of the organization with that of its past. This enables the managers to draw useful conclusion and make proper decisions.

6. **Less Scope for fraud or theft:** It is difficult to conceal fraud or theft etc., because of the balancing of the books of accounts periodically. As the work is divided among many persons, there will be check and counter check.

7. **Tax matters:** Properly maintained book-keeping records will help in the settlement of all tax matters with the tax authorities.

8. **Ascertaining Value of Business:** The accounting records will help in ascertaining the correct value of the business. This helps in the event of sale or purchase of a business.

9. **Documentary evidence:** Accounting records can also be used as an evidence in the court to substantiate the claim of the business. These records are based on documentary proof. Every entry is supported by authentic vouchers. As such, Courts accept these records as evidence.

10. **Helpful to management:** Accounting is useful to the management in various ways. It enables the management to assess the achievement of its performance. The weakness of the business can be identified and corrective measures can be applied to remove them with the helps accounting.

LIMITATIONS OF ACCOUNTING

1. **Does not record all events:** Only the transactions of a financial character will be recorded under book-keeping. So it does not reveal a complete picture about the quality of human resources, location advantage, business contacts etc.

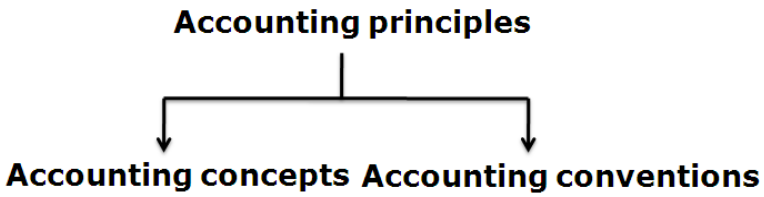
2. **Does not reflect current values:** The data available under book-keeping is historical in nature. So they do not reflect current values. For instance, we record the value of stock at cost price or market price, whichever is less. In case of, building, machinery etc., we adopt historical cost as the basis. In fact, the current values of buildings, plant and machinery may be much more than what is recorded in the balance sheet.

3. **Estimates based on Personal Judgment:** The estimate used for determining the values of various items may not be correct. For example, debtor are estimated in terms of collectability, inventories are based on marketability, and fixed assets are based on useful working life. These estimates are based on personal judgment and hence sometimes may not be correct.

4. **Inadequate information on costs and Profits:** Book-keeping only provides information about the overall profitability of the business. No information is given about the cost and profitability of different activities of products or divisions.

ACCOUNTING PRINCIPLES

Accounting principles are the rules and regulations which are followed by the accountants at the time of recording the accounting transactions. They help in measuring, recording and summarizing the transactions. These principles are termed as " Generally Accepted Accounting Principles (GAAP) " which are basic assumptions.



Accounting Concepts:

1. **Business_Entity_Concept**: In this concept "Business is treated as separate from the proprietor". All the Transactions recorded in the book of Business and not in the books of proprietor. The proprietor is also treated as a creditor for the Business.

2. **Going_Concern_Concept**: This concept relates with the long life of Business. The assumption is that business will continue to exist for unlimited period unless it is dissolved due to some reasons or the other.

3. **Money_Measurement_Concept**: In this concept "Only those transactions are recorded in accounting which can be expressed in terms of money, those transactions which cannot be expressed in terms of money are not recorded in the books of accounting".

4. **Cost_Concept**: Accounting to this concept, can asset is recorded at its cost in the books of account. i.e., the price, which is paid at the time of acquiring it. In balance sheet, these assets appear not at cost price every year, but depreciation is deducted and they appear at the amount, which is cost, less classification.

5. **Accounting_Period_Concept**: every Businessman wants to know the result of his investment and efforts after a certain period. Usually one-year period is regarded as an ideal for this purpose. This period is called Accounting Period. It depends on the nature of the business and object of the proprietor of business.

6. **Dual_Aspect_Concept**: According to this concept "Every business transactions has two aspects", one is the receiving benefit aspect another one is giving benefit aspect. The receiving benefit aspect is termed as "DEBIT", where as the giving benefit aspect is termed as "CREDIT". Therefore, for every debit, there will be corresponding credit.

7. **Matching_Cost_Concept**: According to this concept "The expenses incurred during an accounting period, e.g., if revenue is recognized on all goods sold during a period, cost of those good sole should also be charged to that period.

8. **Realization_Concept**: According to this concept revenue is recognized when a sale is made. Sale is considered to be made at the point when the property in goods posses to the buyer and he becomes legally liable to pay.

Accounting Conventions:

1.**Full_Disclosure**: According to this convention accounting reports should disclose fully and fairly the information. They purport to represent. They should be prepared honestly and sufficiently disclose information which is if material interest to proprietors, present and potential creditors and investors. The companies ACT, 1956 makes it compulsory to provide all the information in the prescribed form.

2.**Materiality**: Under this convention the trader records important factor about the commercial activities. In the form of financial statements if any unimportant information is to be given for the sake of clarity it will be given as footnotes.

3.**Consistency**: It means that accounting method adopted should not be changed from year to year. It means that there should be consistent in the methods or principles followed. Or else the results of a year Cannot be conveniently compared with that of another.

4. **Conservatism**: This convention warns the trader not to take unrealized income in to account. That is why the practice of valuing stock at cost or market price, whichever is lower is in vague. This is the policy of "playing safe"; it takes in to consideration all prospective losses but leaves all prospective profits.

ELEMENTS OF FINANCIAL STATEMMENTS

Entity:- An entity is an economic unit which performs economic activities. Ex: Tata Steel, H.M.T. Ltd.

Business transaction:- A transaction is an exchange of goods or services for cash or credit. It involves transfer of money or money's worth that brings about change in the financial position of a business.

Trade debtors:- Trade debtors are the persons from whom the amount are due for goods sold or services rendered on credit basis.

Trade creditors:- Trade creditors are those to whom the amounts are due for goods purchased or services rendered on credit basis.

Goods:- Goods are those with which the business firm trades. They are meant for resale.

Assets:- Assets are those which yield future economic benefits.

Current Assets:- current assets are those assets which are held in cash or which are likely to be converted into cash during the financial year.

Fixed Assets:- Fixed assets are those assets which are not held for resale in normal course of business.

Tangible Fixed Assets:- The assets that can be visible, seen and touched are called as " Tangible Fixed Assets".

Intangible fixed assets:- The assets that cannot be visible, seen and touched are called as " Intangible Fixed Assets".

Liabilities:- The financial obligations of the firm are called liabilities.

Current Liabilities:- The liabilities which fall due in a short period are known as " Current Liabilities".

Long term liabilities:- The liabilities which fall due for payment in a relatively short period are called as long term liabilities.

Purchases:- The total amount of goods obtained by an enterprise for resale either for cash or credit.

Sales:- The amount for which goods are sold or services are rendered either for cash or credit is called as sales.

Expenditure:- The amount incurred in the process of acquiring goods, assets or services.

Revenue:- The amount charged for the goods sold or services rendered by an enterprise.

Capital: Capital is the amount invested by the owner/propietor in the firm. It is a liability to the firm.

Drawings: cash or goods withdrawn by the proprietor from the Business for his personal or Household is termed to as "drawing".

Reserve: An amount set aside out of profits or other surplus and designed to meet contingencies.

Account: A summarized statements of transactions relating to a particular person, thing, Expense or income.

Discount: There are two types of discounts..

cash discount: An allowable made to encourage frame payment or before the expiration of the period allowed for credit.

Trade discount: A deduction from the gross or catalogue price allowed to traders who buys them for resale.

CLASSIFICATION OF ACCOUNTS

All business transactions are classified into three categories:

1.Those relating to persons(Natural persons, artificial persons and representative persons)

2.Those relating to property(Assets)

3.Those relating to income & expenses

Thus, three classes of accounts are maintained for recording all business transactions. They are:

1.Personal accounts

2.Real accounts

3.Nominal accounts

1.**Personal_Accounts**_:Accounts which are transactions with persons are called "Personal Accounts" . In accounting, all natural persons and all the firms are considered as persons.

A separate account is kept on the name of each person for recording the benefits received from ,or given to the person in the course of dealings with him.

E.g.: Krishna's A/C, Gopal's A/C, SBI A/C, Nagarjuna Finanace Ltd.A/C, Obul Reddy & Sons A/C , HMT Ltd. A/C, Capital A/C, Drawings A/C etc.

2.**Real_Accounts**: The accounts relating to properties or assets are known as "Real Accounts" .Every business needs assets such as machinery , furniture etc, for running its activities .A separate account is maintained for each asset owned by the business .

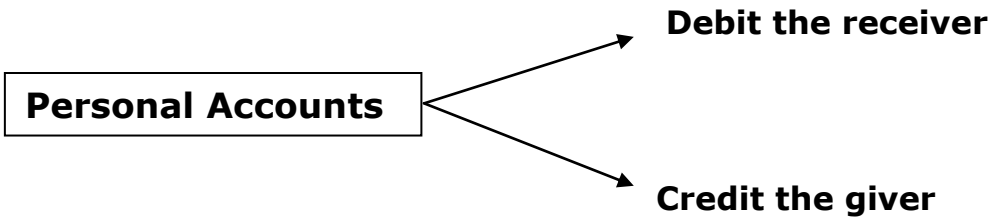
E.g.: cash A/C, furniture A/C, building A/C, machinery A/C etc.

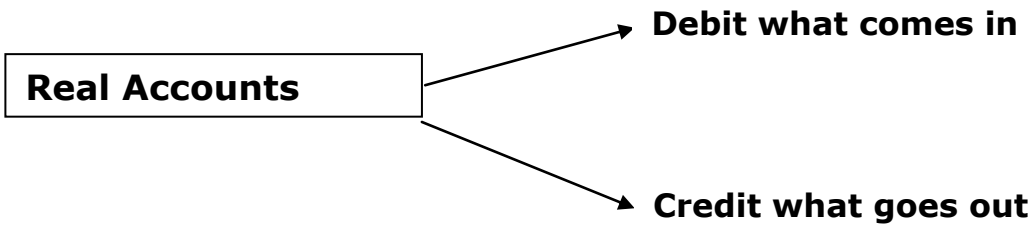
3.**NominalAccounts**:Accounts relating to expenses, losses, incomes and gains are known as "Nominal Accounts". A separate account is maintained for each item of expenses, losses, income or gain.

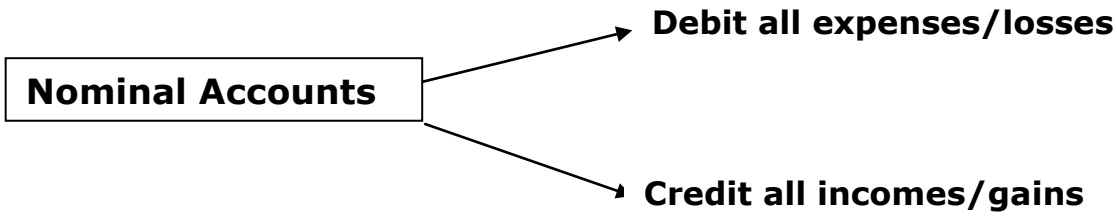
E.g.: Salaries A/C, stationery A/C, wages A/C, postage A/C, commission A/C, interest A/C, purchases A/C, rent A/C, discount A/C, commission received A/C, interest received A/C, rent received A/C, discount received A/C.

Before recording a transaction, it is necessary to find out which of the accounts is to be debited and which is to be credited. The following three different rules have been laid down for the three classes of accounts….

DEBIT, CREDIT RULES







Identification of the accounts involved in each transaction:

1. Consider that the transaction is committed by the firm and it is being recorded in the books of the firm.

2. see whether it is cash transaction or credit transaction.

a. A transaction that refers to a person and doesn't refer to the term " cash " is called credit transaction

b. A transaction which is not credit transaction is called cash transaction

3. If the transaction is credit one, first find whether the ' personal A/C' is to be debited or credited and next find which account is to be credited or debited.

4. If it is a cash transaction, first find whether the ' cash A/C' is to be debited or credited and next find which account is to be credited or debited.

5. Debit means entering the amount on the left side of an account.

6. Credit means entering the amount on the right side of account.

ACCOUNTING EQUATION

The basic accounting equation, also called the balance sheet equation, represents the relationship between the assets, liabilities, and owner's equity of a business. It is the foundation for the double-entry bookkeeping system. For each transaction, the total debits equal the total credits. It can be expressed as further more.

Assets = Liabilities + Equity

In a company, capital represents the shareholders' equity. Since every business transaction affects at least two of a company's accounts, the accounting equation will always be "in balance," meaning the left side should always equal the right side. Thus, the accounting formula essentially shows that what the firm owns (its assets) is purchased by either what it owes (its liabilities) or by what its owners invest (its shareholders equity or capital).

For example: A student buys a computer for Rs.1000. To pay for the computer, the student uses Rs.400 in cash and borrows Rs.600 for the remainder. Now his assets are worth Rs.1000, liabilities are Rs.600, and equity Rs.400.

The formula can be rewritten:

Assets - Liabilities = (Shareholders' or Owners' **Equity**)

Sometimes we expand the Accounting Equation to show all the Equity components. This is called the

Expanded Accounting Equation.

$$\text{Assets} = \text{Liabilities} + \overbrace{\text{Owner, Capital} - \text{Owner, Withdrawals} + \text{Revenues} - \text{Expenses}}^{\text{Equity}}$$

Now it shows owners' interest is equal to property (assets) minus debts (liabilities). Since in a company, owners are shareholders, owner's interest is called shareholders' equity. Every accounting transaction affects at least one element of the equation, but always balances. Simplest transactions also include:

Example 1: Prepare the Accounting Equation on the basis of following:

1. Mr. Shiraz Khan started business and introduced capital Rs. 1,00,000 in cash.

2. Purchased goods in cash Rs. 50,000.

3. Purchased from Bismillah Furnitures Rs. 20,000.

4. Sold goods costing Rs. 25,000 for Rs. 35,000.

5. Paid Bismillah Furnitures in cash.

No.	Transaction		Asset Rs	=	Liabilities Rs	+	Capital Rs
1	Shiraz Khan started business with cash		100000	=	0	+	100000
2	Purchased goods in cash	Add	50000				
		Less	50000				
	New Equation		100000	=	0	+	100000
3	Purchased Goods from Bismillah Furnitures	Add	20000	=	20000	+	0
	New Equation		120000	=	20000	+	100000
4	Sold goods costing Rs 25000	Less	-25000				
	for Rs 35000 (Note)	Add	35000	=	0	+	10000
	New Equation		130000	=	20000	+	110000
5	Paid Bismillah Furnitures	Less	-20000	=	-20000	+	0
	New Equation		110000	=	0	+	110000

Example 2: Prepare the Accounting Equation on the basis of following:

1. Issuing shares for cash or other assets Rs.6000
2. Buying assets by borrowing money Rs.10000
3. Selling assets for cash Rs. 900
4. Buying assets by paying cash Rs.600 and by borrowing money 400.
5. Earning revenues Rs.700

Sl. No	Transaction		Assets	=	Liabilities	+	Capital
1	Issuing shares for cash or other assets Rs.6000		+6,000	=	0	+	+6,000
2	Buying assets by borrowing money Rs.10000	Add	+10,000		+10,000		0
	New Equation		**16000**	=	**10000**	+	**6000**
3	Selling assets for cash	Add Less	+900 -900		0		0
	New Equation		**16000**	=	**10000**	+	**6000**
4	Buying assets by paying cash Rs.600 and by borrowing money 400.	Add Less	+1,000 -600		+400		0
	New Equation		**16400**	=	**10400**	+	**6000**
5	Earning revenues Rs.700	Add	+700				+700
	New Equation		**17100**	=	**10400**	+	**6700**

JOURNAL

The first step in accounting therefore is the record of all the transactions in the books of original entry viz., Journal and then posting into ledges.

The word Journal is derived from the Latin word ‘journ’ which means a day. Therefore, journal means a ‘day Book’ in day-to-day business transactions are recorded in chronological order.

Journal is treated as the book of original entry or first entry or prime entry. All the business transactions are recorded in this book before they are posted in the ledges. The journal is a complete and chronological(in order of dates) record of business transactions. It is recorded in a systematic manner. The process of recording a transaction in the journal is called “JOURNALISING”. The entries made in the book are called “Journal Entries”.

The proforma of Journal is given below.

Date	Particulars	L.F	Debit Amount	Credit Amount

Journalize the following examples:

Example 1. Journalize the following transactions in the books of Mr. Ram

2015 Jan 1 Business started with Rs. 10,000

" 2 Cash deposited in the bank Rs. 5,000

" 5 Purchases Rs. 3,000

" 8 Sales Rs. 4,000

" 10 Cash drawn from the bank Rs. 1,000

Solution: **Journal entries in the book of Mr.Ram**

Date	Particulars	LF	Dr Amount	Cr Amount
2015 Jan 1	**Cash A/C Dr** **To Capital A/C** **(Being the business started)**		**10000**	**10000**
" 2	**Bank A/C Dr** **To Cash A/C** **(Being Cash deposited in the bank)**		**5000**	**5000**
" 5	**Purchases A/C Dr** **To Cash A/C** **(Being purchases made on the cash basis)**		**3000**	**3000**

" 8	**Cash A/C** **Dr** **To Sales A/C** **(Being sales made on the cash basis)**		**4000**	**4000**
" 10	**Cash A/C** **Dr** **To Bank A/C** **(Being cash withdrawn from the bank)**		**1000**	**1000**

Example 2. Journalize the following transactions in the books of Sri Laxmi & Co.

2015 Jan 1 Business started with Rs. 10,000 Cash and Furniture Rs. 5,000

" 2 Goods purchased from Mr. Sathish Rs. 2,000

" 5 Rent paid Rs. 1,000

" 8 Goods sold to Mr. Ramya Rs. 4,000

" 10 Goods sold and cheque received Rs. 1,000

Solution: **Journal entries**

Date	Particulars	L F	Dr Amount	Cr Amount
2015 Jan 1	Cash A/C Dr Furniture A/C Dr To Capital A/C (Being the business started with cash and furniture)		10000 5000	 15000
" 2	Purchases A/C Dr To Sathish A/C (Being goods sold on credit basis)		2000	2000
" 5	Rent A/C Dr To Cash A/C (Being rent paid)		1000	1000
" 8	Ramya A/C Dr To Sales A/C (Being sales made on credit basis)		4000	4000
" 10	Bank A/C Dr To Sales A/C (Being sales made for cheque)		1000	1000

Example 3. Enter the following transactions in Journal

2015 Jan 1 Purchased office furniture Rs. 2000 and paid through cheque.

" 2 Cash sales Rs. 3000

" 5 Wages paid Rs. 1000

" 8 Telephone bill paid Rs. 500

" 10 Cash sales Rs. 2000 and credit sales Rs. 2000 to Sunil.

Solution: **Journal entries**

Date	Particulars		L F	Dr Amount	Cr Amount
2015 Jan 1	Furniture A/C To Bank A/C` (Being furniture purchased through cheque)	Dr		2000	2000
" 2	Cash A/C To Sales A/C (Being goods sold on credit basis)	Dr		3000	3000
" 5	Wages A/C To Cash A/C (Being wages paid)	Dr		1000	1000
" 8	Telephone bill A/C To Cash A/C (Being telephone bill paid)	Dr		500	500
" 10	Cash A/C Sunil A/C To Sales A/C (Being goods sold on cash and on credit)	Dr Dr		2000 2000	4000

Example 4. Journalize the following transactions.

2015 Jan 1 Salaries paid Rs. 2000

" 2 Paid for advertisement Rs. 3000

" 5 Purchased a car for office use Rs. 100000

" 8 Paid insurance premium Rs. 500

" 10 Returned goods to Suresh Rs. 100

Solution: **Journal entries**

Date	Particulars		L F	Dr Amount	Cr Amount
2015 Jan 1	Salaries A/C	Dr		2000	
	To Cash A/C`				2000
	(Being salaries paid through cash)				
" 2	Advertisement A/C	Dr		3000	
	To Cash A/C				3000
	(Being advertisement expenditure paid)				
" 5	Car A/C	Dr		100000	
	To Cash A/C				100000
	(Being car purchased)				
" 8	Insurance premium A/C	Dr		500	
	To Cash A/C				500
	(Being insurance premium paid)				
" 10	Suresh A/C	Dr		100	
	To Purchase returns A/C				100
	(Being goods returned to Suresh)				

Example 5. Journalize the following transactions.

2015 Jan 1 Goods returned from Ram Rs. 200

" 2 Cash withdrawn for personal use Rs. 3000

" 5 Loan borrowed from SBH Rs. 100000

" 8 Interest received Rs. 500

" 10 Discount paid Rs. 100

Solution: **Journal entries**

Date	Particulars		L F	Dr Amount	Cr Amount
2015 Jan 1	Sales returns A/C	Dr		200	
	To Ram A/C`				200
	(Being goods returned from Ram)				
" 2	Drawings A/C	Dr		3000	
	To Cash A/C				3000
	(Being cash withdrawn for personal use)				
" 5	Cash A/C	Dr		100000	
	To SBH loan A/C				100000
	(Being loan borrowed)				
" 8	Cash A/C	Dr		500	
	To Interest A/C				500
	(Being interest received)				
" 10	Discount A/C	Dr		100	
	To Cash A/C				100
	(Being discount paid)				

6. Journalize the following.

a) Goods worth Rs. 30000 destroyed in fire. Insurance company admits half the claim.
b) Delivery truck repaired at a cost of Rs. 40000.
c) A cheque for Rs. 20000 sent to Robert in full settlement of account of Rs. 22000.
d) A sum of Rs. 12000 received form Ahmed against at debt previously written off.
e) Salaries yet to be paid is Rs. 80000.
f) Swadeshi who owes Rs. 18000 becomes insolvent. Only 50% of dues received.

Solution: **Journal entries**

Date	Particulars		L F	Dr Amount	Cr Amount
a)	Insurance Company A/C	Dr		15000	
	Goods Destroyed A/C	Dr		15000	
	To Trading A/C`				30000
	(Being goods destroyed and claimed)				
b)	Repairs A/C	Dr		40000	
	To Cash A/C				40000
	(Being van repairs incurred)				
c)	Robert A/C	Dr		22000	
	To Bank A/C				20000
	To Discount received A/C				2000
	(Being cheque issued for full settlement)				
d)	Cash A/C	Dr		12000	
	To Bad debts received A/C				12000
	(Being telephone bill paid)				
e)	SalariesA/C	Dr		80000	
	To Outstanding salaries A/C				80000
	(Being goods sold on cash and on credit)				
f)	Cash A/C	Dr		9000	
	Bad debts A/C	Dr		9000	
	To Swadeshi A/C				18000
	(Being goods sold on cash and on credit)				

SUBDIVISION OF JOURNAL

Small businesses record all transactions in a single journal but large companies record their transactions in different journals according to their nature. The journal is sub-divided into eight parts. They are;

1. **Purchase book** (where all credit purchases are recorded)
2. **Sales book** (where all credit sales are recorded)
3. **Purchase returns book** (where the particulars of goods returned to suppliers are recorded)
4. **Sales returns book** (where the particulars of goods returned from customers are recorded)
5. **Bills receivable book** (where the details of bills received are recorded)
6. **Bills payable book** (where the details of bills payable are recorded)
7. **Cash book** (where all the cash transaction are recorded)

8. **Proper journal** (where the transactions which are not recorded in the above books are recorded)

Record the following transactions in the three columnar (cash, Bank, Discount columns) cash book.

Example 1. Prepare a three columnar cash book.

2015 Jan 1 Manmohan started a business with cash balance of Rs. 10,000 and paid into bank Rs. 8,000.

3 Bought office furniture by cheque Rs. 3000

5 Sold goods for cash Rs. 1000

8 Anand paid Rs. 600 and was allowed a discount of Rs.60

12 A cheque received from Mani for Rs. 690 and allowed him a discount of Rs. 10; the cheque was deposited into bank.

18 Cash withdrawn from bank for office use Rs. 1000

24 Received a cheque for sales Rs. 1200

20 Drew cash for personal use Rs. 100; Salaries paid Rs. 500.

Solution: **Three columnar cash book**

Date	Particulars	LF	Discount	Cash	Bank	Date	Particulars	LF	Discount	Cash	Bank
2015 Jan 1	To Cash A/.C			10000	8000	2015 Jan 3	By Furniture A/C				3000
5	To Sales A/C			1000		18	By Cash A/C	c			1000
8	To Anand A/C		60	600		31	By Drawings A/C			100	
12	To Mani A/C		10		690	31	By Salaries A/C			500	
18	To Bank A/C	c		1000							
24	To Sales A/C				1200	31	By Balance (c/d)			12000	5890
			100	12600	9890				200	12600	9890
Feb 1	By Balance (b/d)			12000	5890						

Example 2.

2015 Jan 1 ABC firms has cash in hand Rs. 4,000 and balance at bank Rs. 5,000.

2 Deposited cash Rs. 3,500 into bank.

8 Bought goods worth Rs. 8000 from Ram.

10 Sold goods worth Rs. 15000 for cash.

12 Sold goods to Suresh for Rs. 5000

15 Paid Rs. 2000 to Ram on account

18 Withdrew Rs. 1000 from bank for personal use

20 Settled Ram account; he allows a discount of Rs. 200

23 Suresh paid Rs. 4900 in full settlement of account

25 Withdrew Rs. 2000 from bank for office use

Prepare a three columnar cash book.

Solution: **Three columnar cash book**

Date	Particulars	LF	Discount	Cash	Bank	Date	Particulars	LF	Discount	Cash	Bank
2015 Jan 1	To Opening balances			4000	5000	2015 Jan 2	By Bank A/C	c		3500	
2	To Cash A/C	c			3500	15	By Ram A/C			2000	
10	To Sales A/C			15000		18	By Drawings A/C				1000
23	To Suresh A/C		100	4900		20	By Ram A/C		200	5800	
25	To Bank A/C	c		2000		25	By Cash A/C	c			2000
						31	By Balance (c/d)			14600	5500
			100	25900	8500				200	25900	8500
Feb 1	By Balance (b/d)			14600	5500						

LEDGER

All the transactions in a journal are recorded in a chronological order. After a certain period, if we want to know whether a particular account is showing a debit or credit balance it becomes very difficult. So, the

ledger is designed to accommodate the various accounts maintained the trader. It contains the final or permanent record of all the transactions in duly classified form. "A ledger is a book which contains various accounts." The process of transferring entries from journal to ledger is called "POSTING".

Posting is the process of entering in the ledger the entries given in the journal. Posting into ledger is done periodically, may be weekly or fortnightly as per the convenience of the business. The following are the guidelines for posting transactions in the ledger.

1. After the completion of Journal entries only posting is to be made in the ledger.
2. For each item in the Journal a separate account is to be opened. Further, for each new item a new account is to be opened.
3. Depending upon the number of transactions space for each account is to be determined in the ledger.
4. For each account there must be a name. This should be written in the top of the table. At the end of the name, the word "Account" is to be added.
5. The debit side of the Journal entry is to be posted on the debit side of the account, by starting with "TO".
6. The credit side of the Journal entry is to be posted on the debit side of the account, by starting with "BY".

Proforma for ledger: ***LEDGER BOOK*---------- Account**

Date	**Particulars**	**JF**	**Amount**	**Date**	**Particulars**	**JF**	**amount**
	To				**By**		

Example:

Enter the following transactions in journal and post them into ledger:

2017 Jan. 1 Mr. Rameh started business with cash Rs.100,000
2 He purchased furniture for Rs.20,000

3 He purchased goods for Rs.60,000

5 He sold goods for cash Rs.80,000

6 He paid salaries Rs.10,000

Solution:

Journal Entries

Date	Particular	L.F	Amount	Amount
2017				
Jan. 1	Cash A/C .....Dr. To Capital (Being capital brought in)		100,000	100,000
2	Furniture A/C.....Dr. To Cash A/C (Being furniture purchased for cash)		20,000	20,000
3	Purchases A/C.....Dr. To Cash A/C (Goods purchased for cash)		60,000	60,000
5	Cash A/C.....Dr. To Sales A/C (Sold goods for cash)		80,000	80,000
6	Salaries A/C.....Dr. To Cash A/C (Salaries paid)		10,000	10,000

Ledger

Cash Account

Date	Particular	Amount	Date	Particulars	Amount
2017			2017		
Jan.1	To Capital A/C	100,000	Jan.2	By Furniture A/C	20,000
Jan.5	To Sales A/C	80,000	Jan.3	By Purchases A/C	60,000
			Jan.6	By Salaries A/C	10,000
				By Balance c/d	90,000
		180,000			**180,000**

Capital Account

Date	Particular	Amount	Date	Particulars	Amount
2017			2017		
Jan.6	To Balance c/d	100,000	Jan.1	By Cash A/C	100,000
		100,000			**100,000**

Furniture Account

Date	Particular	Amount	Date	Particulars	Amount
2017 Jan.2	To Cash A/C	20,000	2017 Jan.6	By Balance c/d	20,000
		20,000			**20,000**

Purchases Account

Date	Particular	Amount	Date	Particulars	Amount
2017 Jan.3	To Cash A/C	60,000	2017 Jan.6	By Balance c/d	60,000
		60,000			**60,000**

Sales Account

Date	Particular	Amount	Date	Particulars	Amount
2017 Jan.6	To Balance c/d	80,000	2017 Jan.5	By Cash A/C	80,000
		80,000			**80,000**

Salaries Account

Date	Particular	Amount	Date	Particulars	Amount
2017 Jan.6	To Cash A/C	10,000	2017 Jan.6	By Balance c/d	10,000
		10,000			**10,000**

TRIAL BALANCE

According to double entry system every debit has corresponding credit. All the debit balances are equal to credit balances. If they don't agree, it is understood that some mistakes are committed somewhere. Trial Balance is a statement in which debit and credit balances of all ledger accounts are shown to list the arithmetical accuracy of the books of accounts.

Features of trial balance

- ✓ It is not account.
- ✓ It contains debit and credit balances of accounts.
- ✓ It helps in preparation of final accounts.
- ✓ Both debit and credit side of a trial balances are always equal.

Format of the trial balance

Particulars	Debit Amount	Particulars	Credit Amount
Balances of all assets, Expenses, Losses	xxxx	Balances of all liabilities, Incomes, Gains, Reserves	xxxx

(Or)

Particulars	Debit Amount	Credit Amount

Format of Trial Balance as on December 31st, 201X

Debit balances	Rs	Credit balances	Rs
Debtors	xxxx	Creditors	xxxx
All assets	xxxx	All liabilities	xxxx
All expenses	xxxx	All incomes and gains	xxxx
All losses	xxxx	Profits account	xxxx
Purchases	xxxx	Loan account	xxxx
Sales returns	xxxx	Bank over draft	xxxx
Drawings	xxxx	Sales	xxxx
stock	xxxx	Purchase returns	xxxx
Bills receivables	xxxx	Provision for doubtful debts	xxxx
Prepaid expenses	xxxx	Provision for discount on debtors	xxxx
Incomes receivables	xxxx	All reserves and surpluses	xxxx
All intangible assets	xxxx	Bills payables	xxxx
		Outstanding expenses	xxxx
		Incomes received in advance	xxxx
		Capital	xxxx
	xxxx		**xxxx**

Prepare the Trial Balances for the following examples:

Example 1. Prepare a trial balance as on 31-12-2014 from the below information.

Particulars	Rs	Particulars	Rs
Sundry debtors	32000	Bills payable	7500
Stock	22000	Purchases	218870
Cash in hand	35	Cash at bank	1545
Plant and machinery	17500	Sundry creditors	10650
Trade expenses	1075	Sales	234500
Salaries	2225	Carriage outward	400
Rent	900	Discounts (Dr)	1100
Capital	79500	Premises	34500

Solution: **Trial Balance as on 31-12-2014**

Debit balances	Rs	Credit balances	Rs
Sundry debtors	32000	Bills payable	7500
Stock	22000	Sales	234500
Cash in hand	35	Sundry creditors	10650
Plant and machinery	17500	Capital	79500
Trade expenses	1075		
Cash at bank	1545		
Rent	900		
Salaries	2225		
Purchases	218870		
Carriage outward	400		
Discounts	100		
Premises	34500		
	332150		**332150**

Example 2. Make a trial balance from the below balances of accounts.

Particulars	Rs	Particulars	Rs
Capital	100000	Machinery	30000
Stock	16000	Wages	50000
Carriage inward	500	Salaries	5000
Factory rent	2400	Repairs	400
Fuel and power	2500	Buildings	40000
Sundry debtors	20000	Sales	203600
Purchases	122000	Creditors	12500
Returns outwards	2000	Returns inwards	3600
Drawings	2000	Discount allowed	750

Discount received	250	Office expenses	1000
Manufacturing expenses	600	Bills payable	3000
Bills receivable	5000	Cash in hand	2400
Cash at bank	15400	Office rent	1800

Solution: **Trial Balance as on ----------**

Debit balances	Rs	Credit balances	Rs
Machinery	30000	Capital	100000
Stock	16000	Sales	203600
Wages	50000	Creditors	12500
Carriage inward	500	Returns outwards	2000
Salaries	5000	Discount received	250
Factory rent	2400	Bills payable	8500
Repairs	400		
Fuel and power	2500		
Buildings	40000		
Sundry debtors	20000		
Purchases	122000		
Returns inwards	3600		
Drawings	2000		
Discounts allowed	750		
Office expenses	1000		
Manufacturing expenses	600		
Bills receivable	5000		
Cash in hand	2400		
Cash at bank	15400		
Office rent	1800		
	321350		**321350**

FINAL ACCOUNTS

In every business, the business man is interested in knowing whether the business has resulted in profit or loss and what the financial position of the business is at a given time. In brief, he wants to know (i)The profitability of the business and (ii) The soundness of the business.

The trader can ascertain this by preparing the final accounts. The final accounts are prepared from the trial balance. Hence the trial balance is said to be the link between the ledger accounts and the final accounts. The final accounts of a firm can be divided into two stages. The first stage is preparing the trading and profit and loss account and the second stage is preparing the balance sheet.

TRADING ACCOUNT

The first step in the preparation of final account is the preparation of trading account. The main purpose of preparing the trading account is to ascertain gross profit or gross loss as a result of buying and selling the goods.

Finally, a ledger may be defined as a summary statement of all the transactions relating to a person , asset, expense or income which have taken place during a given period of time. The up-to-date state of any account can be easily known by referring to the ledger.

PROFIT AND LOSS ACCOUNT:

The business man is always interested in knowing his net income or net profit.Net profit represents the excess of gross profit plus the other revenue incomes over administrative, sales, Financial and other expenses. The debit side of profit and loss account shows the expenses and the credit side the incomes. If the total of the credit side is more, it will be the net profit. And if the debit side is more, it will be net loss.

Format of Trading and Profit & Loss A/C of …….for the year ending ……..

Particulars		Amount	Particulars		Amount
To Opening stock		xxxx	By Sales	xxxx	
To Purchases	xxxx		Less: Returns	xxxx	xxxx
Less: Returns	xxxx	xxxx	By Closing stock		xxxx
To Carriage inwards		xxxx	By Gross loss (c/d)		xxxx
To Freight, cartage		xxxx			
To Customs duty		xxxx			
To Clearing charges		xxxx			
To Octroi		xxxx			
To Wages		xxxx			
To Gas, water, coal, light		xxxx			
To Factory rent		xxxx			
To Works manager salary		xxxx			
To Factory supervision		xxxx			
To consumable stores		xxxx			
To Plant depreciation		xxxx			
To Gross profit (c/d)		xxxx			
		xxxx			xxxx
To Gross loss(b/d)		xxxx	By Gross profit(b/d)		xxxx
To Salaries		xxxx	By Discount received		xxxx
To Rent, Taxes		xxxx	By Interest received		xxxx
To Insurance		xxxx	By Dividend received		xxxx
To Printing stationery		xxxx	By Rent received		xxxx

To Advertisement	xxxx	By Commission received	xxxx
To Carriage outward	xxxx	By Net loss (c/d)	xxxx
To Bad debts	xxxx		xxxx
To Repairs	xxxx		xxxx
To Depreciation	xxxx		xxxx
To Discount allowed	xxxx		xxxx
To Commission allowed	xxxx		xxxx
To Interest paid	xxxx		xxxx
To Provision for doubtful debts	xxxx		xxxx
To Postage	xxxx		xxxx
To General expenses	xxxx		xxxx
To Net profit (c/d)	xxxx		xxxx
	xxxx		xxxx

BALANCE SHEET:

The second point of final accounts is the preparation of balance sheet. It is prepared often in the trading and profit, loss accounts have been compiled and closed. A balance sheet may be considered as a statement of the financial position of the concern at a given date.

A balance sheet is an item wise list of assets, liabilities and proprietorship of a business at a certain state.

Balance Sheet of……....company as on ……..

Capital & Liabilities		Amount	Assets	Amount
Capital	xxxx		Land and buildings	xxxx
Add: Net profit	xxxx		Furniture	xxxx
	xxxx		Plant and machinery	xxxx
Less: Drawings	xxxx	xxxx	Land	xxxx
Loans		xxxx	Vehicles	xxxx
Bank Over Draft		xxxx	Debtors	xxxx
Bills payable		xxxx	Investments	xxxx
Creditors		xxxx	Bills receivables	xxxx
Outstanding expenses		xxxx	Goodwill	xxxx
Incomes received in advance		xxxx	Patents	xxxx
All reserves		xxxx	Copyright	xxxx
			Trade marks	xxxx
			Prepaid expenses	xxxx
			Incomes receivables	xxxx
			Securities	xxxx
			Closing stock	xxxx
			Cash in hand	xxxx
			Cash at bank	xxxx
		xxxx		xxxx

IMPORTANT ADJUSTMENTS:

1. **Outstanding expenses**

   a) Add to respective expense account in Trading & Profit & Loss account

   b) Show as a liability in Balance Sheet

Note:- If it is given only in trial balance, show as a liability in the balance sheet

2. **Prepaid expenses**

   a) Deduct from the respective expenses account in Trading and P/L account

   b) Show as an asset in Balance Sheet

Note:- If it is given only in trial balance, show only as an asset in B/S

3. **Accrued incomes or incomes receivables**

   a) Add to the respective income A/C in P/L Account

   b) Show as an asset in B/S

Note:- If it is only given in trial balance, show as an asset in B/S

4. **Incomes received in advance**

   a) Deduct from the respective income A/C in P/L Account

   b) Show as a liability in B/S

Note:- It is given only in trial balance, show as a liability in B/S

5. **Closing stock**

   a) Show on the credit side of trading A/C

   b) Show as an asset in B/S

Note:- If it is given only in trial balance, show as an asset in B/S

6. **Interest on capital**

a) Show on the debit side of P/L A/C

b) Add to capital in B/S

Note:- If it is given only in trial balance, show only in P/L A/C

7. Depreciation

a) Show on the debit side of P/L A/C

b) Deduct from respective asset in B/S

Note:- If it is given only in trial balance, show only on the debit side of P/L A/C**)**

8. I) Bad debts (when given only in adjustments)

a) Show on the debit side of P/L A/C

b) Deduct from debtors in B/S

II) Bad debts (when given only in trial balance)

Show on the debit side of P/L A/C only

III) Bad debts (when given in both trial balance and adjustments)

a) Add " Bad debts given in adjustments" to " Bad debts in trial balance" on the debit side of P/L A/C

b) Deduct " Bad debts in adjustments" from the debtors in B/S

9. **Provision/Reserve for bad debts (RBD)**

A) When RBD is given only in trial balance

a) Deduct from the debtors in B/S

B)When RBD is given only in adjustments

a) Show on the debit side of P/L A/C

b) Deduct from the debtors in B/S

C)When RBDs are given in both trial balance (RBD old) and adjustments (RBD New)

a) Compare both RBDs, show the difference on the debit side of P/L A/C if RBD new is excess than RBD old. Show the difference on the credit side of P/L A/C in RBD old is excess than RBD new.

b) Deduct always only RBD new from debtors in B/S

PROCEDURE FOR PREPARING TRADING ACCOUNT

1. Show opening stock and net purchases (purchases less purchase returns) on the debit side.
2. Show net sales (sales – sales returns) and the closing stock given in the adjustments on the credit side.
3. Show all the direct expenses with adjustments on the debit side.
4. Balance the account.

PROCEDURE FOR PREPARING PROFIT AND LOSS ACCOUNT

1. Show all the remaining expenses with adjustments on the debit side.
2. Show all the remaining incomes with adjustments on the credit side
3. See whether all the adjustments are taken once or not.
4. Balance the account.

PROCEDURE FOR PREPARING BALANCE SHEET

1. Show adjustments (Net profit/loss, Drawings and Interest on capital given in adjustments) to the capital on liabilities side.
2. Show all the liabilities with adjustments on the liabilities side.
3. Show all the assets with adjustments on the assets side.
4. See whether all items of trial balance are taken once and whether all adjustments are taken twice.
5. Add both the columns of assets and liabilities.

Example 1: From the following trial balance and additional information of Mr. Arun, prepare his final accounts for the year ending 31-3-2015.

Particulars	Rs	Particulars	Rs
Building	280000	Capital	250000
Furniture	60000	Sales	265000
Opening stock	25000	Bank loan	100000
Advertising	5000	Commission	6000
Salaries	14000	Creditors	8000
Wages	3000		
Purchases	190000		
Discount	4000		
Bad debts	2000		
Interest on loan	6000		
Returns inwards	10000		
Debtors	30000		
	629000		629000

Adjustments:

1. Stock on 31-3-2015 was Rs. 35000.

2. Wages outstanding Rs. 1000.

Solution: Trading and Profit & Loss A/C of Mr. Kiran for the year ending 31-3-2015.

Dr Cr

Particulars		Amount	Particulars		Amount
To Opening Stock		25000	By Sales	265000	
To Purchases		190000	Less: Returns	10000	255000
To Wages	3000		By Closing Stock		35000
Add: Outstanding	1000	4000			
To Gross Profit (b/d)		71000			
		290000			29000
To Salary		14000	By Gross Profit (c/d)		71000
To Advertisement		5000	By Commission		6000
To Discount		4000			
To Interest on loan		6000			
To Bad debts		2000			
To Net Profit (c/d)		46000			
		77000			77000

Balance Sheet of Mr. Arun as on 31-3-2015.

Liabilities & Capital		Amount	Assets	Amount
Capital	250000		Building	280000
Add: Net Profit	46000	296000	Furniture	60000
Outstanding wages		1000	Debtors	30000
Bank loan		100000	Closing Stock	35000
Creditors		8000		
		405000		405000

Example 2: From the following data and additional information of Mr. Kiran, prepare his final accounts for the year ending 31-3-2015.

Building	70000	Carriage inwards	1291
Furniture	1640	Establishment expenses	2135
Debtors	15600	Carriage outwards	800
Creditors	18852	Insurance	783
Stock	15040	Interest (Cr)	340
Cash in hand	988	Bad debts	613
Cash at bank	24534	Audit fee	400
Bills receivables	5844	General expenses	3050
Purchases	85522	Discount (Dr)	945
Sales	121850	Investments	8922
Capital	92000	Returns inwards	285
Bills payable	6250	Rent	900

Adjustments:

1. Stock on 31-3-2015 was Rs. 35000.
2. Prepaid insurance Rs. 100.
3. Depreciation on furniture Rs. 10%
4. Interest accrued but not received Rs. 100

Solution: Trading and Profit & Loss A/C of Mr. Kiran for the year ending 31-3-2015.

Dr Cr

Particulars		Amount	Particulars		Amount
To Opening Stock		15040	By Sales	121850	
To Purchases		85522	Less: Returns	285	121565
To Carriage inward		1291	By Closing Stock		35000
To Gross Profit (b/d)		54712			
		156565			156565
To Establishment expenses		2135	By Gross Profit (c/d)		54712
To Carriage outward		800	By Interest	340	
To Insurance	783		Add: Interest to be received	100	440
Less: Prepaid	100	683			
To Bad debts		613			
To Audit fee		400			
To General expenses		3050			
To Discount		945			
To Rent		900			
To Depreciation on plant		164			
To Net Profit (c/d)		45462			
		55152			55152

Balance Sheet of Mr. Kiran as on 31-3-2015.

Liabilities & Capital		Amount	Assets		Amount
Capital	92000		Building		70000
Add: Net Profit	45462	137462	Furniture	1640	
Creditors		18852	Less: Depreciation	164	1476
Bills payables		6250	Debtors		15600
			Cash in hand		988
			Cash at bank		24534
			Bills receivables		5844
			Investments		8922
			Closing stock		35000
			Prepaid insurance		100
			Interest accrued		100
		162564			162564

Example 3: From the following trial balance and additional information, prepare final accounts for the year ending 31-12-2014.

Particulars	Rs	Particulars	Rs
Sundry debtors	64000	Discount received	9000
Stock (1-1-2014)	44000	Bank over draft	15000
Cash in hand	3160	Long term loan	25300
Wages	35000	Sales	365000
Trade expenses	2150	Capital	150000
Gas, water, power	4450		
Sales returns	800		
Bank charges	1800		
Purchases	237740		
Advertisements	2200		
Premises	160000		
Drawings	9000		
	564300		564300

Adjustments:

1. Bank charges outstanding Rs.150,

2.Write off bad debts Rs. 500

3. Provide 5% for doubtful debts.

Solution: Trading and Profit & Loss A/C for the year ending 31-12-2014.

Dr Cr

Particulars		Amount	Particulars		Amount
To Opening Stock		44000	By Sales	365000	
To Purchases		237740	Less: Returns	800	364200
To Wages		35000			
To Trade expenses		2150			
To Gas, water, power		4450			
To Gross Profit (b/d)		40860			
		364200			364200
To Bank charges	1800		By Gross Profit (c/d)		40860
Add: Outstanding	150	1950	By Discount		9000
To Advertisements		2200			
To Bad debts		500			
To Provision for bad debts (64000-500)x5/100		3175			
To Net Profit (c/d)		42035			
		49860			49860

Balance Sheet as on 31-12-2014.

Liabilities & Capital		Amount	Assets		Amount
Capital	150000		Debtors	64000	
Add: Net Profit	42035		Less: Bad debts	500	
	192035			63500	
Less: Drawings	9000	183035	Less: Provision for		
Bank Over Draft		15000	bad debts	3175	60325
Long term loans		25300	Cash in hand		3160
Bank charges outstanding		150	Premises		160000
		223485			223485

Example 4: From the following data prepare final accounts for the year ending 31-12-2014.

Particulars	Rs	Rs
Drawings and capital	12000	80000
Opening stock	12000	
Investments	30600	
Stationery	12000	
Carriage	3000	
Returns	6000	2600
Purchases and sales	120000	160000
Loans	2400	10000
Debtors and creditors	60000	25000
Discount allowed	2200	
Freight in	10400	
Freight out	6000	
Charity	28000	
Reserve for doubtful debts		2000
Bills payables		25000
	304600	**304600**

Adjustments:

1. Closing stock Rs. 20000
2. Appreciate investment by 10%
3. Maintain reserve for doubtful debts at the rate of 5%
4. Provide 5% as interest on capital

Solution: Trading and Profit & Loss A/C for the year ending 31-12-2014.

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Particulars		Amount	Particulars		Amount
To Opening Stock		12000	By Sales	160000	
To Purchases	12000		Less: Returns	6000	154000
Less: Returns	2600	117400	By Closing stock		20000
To Freight in		10400			
To Gross Profit (b/d)		34200			
		174000			174000
To Stationery		12000	By Gross Profit (c/d)		34200
To Carriage		3000	By Investments appreciation		3060
To Discount		2200	(30600x10/100)		
To Freight out		6000	To Net Loss (c/d)		18940
To Charity		28000			
To Reserve for bad debts (3000-2000)		1000			
To Interest on capital (80000x5/100)		4000			
		56200			56200

Balance Sheet as on 31-12-2014.

Liabilities & Capital		Amount	Assets		Amount
Capital	80000		Investments	30600	
Less: Net Loss	18940		Add: Appreciation	3060	33660
	61060		Loan		2400
Add: Interest	4000		Debtors	60000	
	65060		Less: Reserve for	3000	57000
Less: Drawings	12000	53060	bad debts		
Loan		10000	Closing stock		20000
Creditors		25000			
Bills payables		25000			
		113060			113060

ACCOUNTING /CYCLE

Accounting process involves a sequence of activities which are repeated in every accounting period. So it is known as accounting cycle.

